important towns of Kargil and Dras and threatened Ladakh. However, by November 1948, Indian troops had cleared the two towns and secured supply lines to Ladakh. (Half a century later, Pakistan would try to recapture the towns in what is now known as the Kargil war of 1999.) Given the momentum, some Indian commanders wanted to push ahead. However, they were refused permission. The matter now shifted to the United Nations. The cease-fire positions of December 1948 have come to be the effective boundary between the two countries. This border was designated the 'Line of Control' as per the Simla Accord of 1972.

On 26 January 1950, the country threw off the last vestige of British rule by declaring itself a Republic. By now, India's borders were recognizably like those that we know today. The country had a population of 359 million or 14.2 per cent of the world's population (by comparison, China had 546 million people and the United States 152 million). However, its share of world economy stood at a mere 4.2 per cent in 1950 compared to 16 per cent in 1820, and a far cry from the 30–33 per cent that it had enjoyed in ancient times. Note that in 1950, the United States was by far the largest economy in the world with a 27 per cent share. Ravaged by war, the Chinese economy was just a tad larger than India's. After adjusting for relative population sizes, even dirt-poor India had a per capita income level that was 40 per cent higher than the Chinese level.[6]

THE LAST COLONIAL

With the British withdrawal complete and the princely states absorbed, the Indian government now turned to the tiny enclaves along the coast held by other European powers. These were remnants of an era of European exploration and conquest before Robert Clive changed the rules of the game. The French had five such enclaves. The largest was Pondicherry, south of Chennai and close to the ancient port of Mahabalipuram. The others included Chandannagar (just north of Calcutta), Yanam (on the Andhra coast), Mahe (on the Kerala coast) and Karaikal (on the Tamil coast).